

SECTION 8: MARKET INTERVENTION

8.1 PRICE CONTROL

Multiple Choice Questions

1990/CE/II/04

Which of the following will result in a 'shortage' of housing?

- A. There is an increase in population.
- B. Many people cannot afford to buy a flat.
- C. The supply of housing is inelastic.
- D. The government sets the price of housing below the market price.

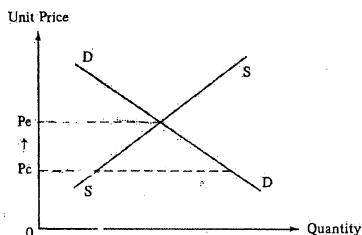
1992/CE/II/24

If the government imposes a price floor below the equilibrium price, there will be

- A. a decrease in the sales revenue.
- B. a decrease in the quantity transacted.
- C. an excess supply.
- D. no excess demand.

1992/CE/II/27

The below diagram shows the price and quantity of Good X. The price increases from P_c to P_e after the price ceiling is cancelled. As a result, the total expenditure on Good X will



- A. increase.
- B. decrease.
- C. remain unchanged.
- D. either increase or decrease, depending on its price elasticity of demand.

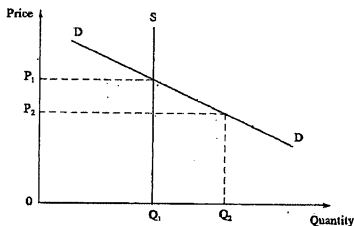
1993/CE/II/27

Filipino maids working as domestic helpers in Hong Kong receive a minimum wage. They usually have to wait for a long time before obtaining employment in Hong Kong. They would have a shorter waiting time and more employment opportunities in Hong Kong if

- A. their minimum wage was raised
- B. the minimum wage legislation was removed
- C. the Philippines was more politically unstable
- D. a surcharge was imposed on the Hong Kong employers

1994/CE/II/10

The following diagram shows the supply of and the demand for the tickets of a concert.



If the tickets are sold at P_2 instead of P_1

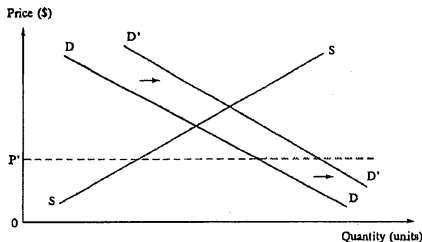
- (1) a black market may occur.
 - (2) the sales revenue will be smaller.
 - (3) the quantity transacted will be greater.
 - (4) the sales revenue may increase or decrease, depending on the price elasticity of demand.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

1995/CE/II/09

The flats under the Home-Ownership Scheme are allocated by a draw. This implies that

- A. the Housing Authority has under-estimated the demand for this type of housing.
- B. a draw is the fairest method in allocating resources.
- C. the price of this type of housing is below its cost.
- D. the price of this type of housing is below the equilibrium price.

1995/CE/II/12



In the above figure, the market price of good X is fixed by the government at P' . If the demand increases from D to D' ,

- (1) the excess demand will be greater.
 - (2) the quantity transacted will not change.
 - (3) the sales revenue will increase when the demand is elastic.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1996/CE/II/08

Shortage occurs when

- A. a price floor below the equilibrium price is imposed.
- B. an effective price ceiling is imposed.
- C. the supply is reduced.
- D. the demand increases sharply.

1996/CE/II/09

Suppose initially the price of a certain good is fixed below the market equilibrium. Relaxing the price control will lead to

- (1) an increase in revenue.
 - (2) a decrease in demand.
 - (3) an increase in revenue only if the demand for this good is inelastic.
 - (4) an increase in the quantity supplied.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

1997/CE/II/56

Suppose the government has put an end to all sorts of rent control in Hong Kong. This measure would NOT

- A. lead to a wider wealth gap.
- B. increase the property tax revenue.
- C. lead to a shortage in the property market.
- D. increase the quantity supplied of rental accommodation.

1998/CE/II/04

If a price floor is set below the equilibrium price of good X,

- A. a shortage of good X will occur.
- B. the quantity transacted will decrease.
- C. the total revenue may increase or decrease, depending on the elasticity of demand for good X.
- D. the total revenue will remain unchanged.

1999/CE/II/06

Unit price (\$)	Quantity Demanded (units)	Quantity Supplied (units)
7	8	20
6	12	18
5	16	16
4	20	14
3	24	12

Refer to the above supply and demand schedule for good X. The government sets its minimum price at \$4 per unit. What would happen if the government raised the minimum price to \$6 per unit?

- A. The shortage of good X would disappear.
- B. The quantity transacted would increase.
- C. Consumer expenditure on good X would decrease.
- D. The surplus of good X would decrease.

2000/CE/II/06

Hong Kong's recent economic recession has caused a decline in people's income. In view of this, the government decided to lower the effective minimum wage level of Filipino maids. As a result of these **TWO** changes,

- (1) The demand for Filipino maids should decrease.
 - (2) The quantity supplied of Filipino maids should decrease.
 - (3) The excess supply of Filipino maids should decrease.
 - (4) The total expenditure on the employment of Filipino maids should drop.
- A. (1) and (2) only
 - B. (2) and (3) only
 - C. (1), (2) and (3) only
 - D. (1), (3) and (4) only

2002/CE/II/06

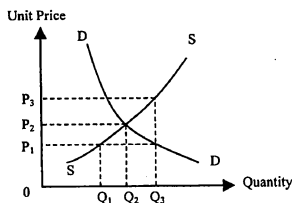
The following table shows the supply of and demand for Good X.

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)
2	20	4
4	16	8
6	12	12
8	8	16
10	4	20

If the government raises the price ceiling from \$4 per unit to \$8 per unit, the quantity transacted will

- A. increase by 4 units.
- B. increase by 8 units.
- C. decrease by 8 units.
- D. decrease by 4 units.

2004/CE/II/12



Refer to the above diagram. Which of the following statements is correct ?

- A. If a price ceiling is set at P_1 , the quantity transacted is Q_3 .
- B. If a price floor is set at P_1 , the quantity transacted is Q_2 .
- C. If a price floor is set at P_3 , the quantity transacted is Q_2 .
- D. If a price ceiling is set at P_3 , non-price competition will occur.

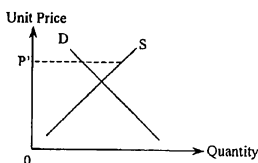
2004/CE/II/13

When the Real Madrid football team visited Hong Kong, many people queued up for days for the tickets to watch the game. Some people complained that they were unable to buy a ticket even they were willing to pay the official ticket price. This implies that

- (1) there was only price competition for the ticket.
 - (2) the official ticket price was set below the market clearing level.
 - (3) the opportunity cost of obtaining a ticket was higher than its official selling price.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2005/CE/II/13

As shown in the following graph, the government of a certain country has fixed the price of agricultural products at P' .



If the price of fertilizers falls, what will happen to the agricultural products? There will be

- A. a larger excess demand.
- B. an increase in the quantity transacted.
- C. an increase in the sales revenue.
- D. a larger excess supply.

2007/CE/II/07

An imposition of a minimum wage legislation would increase

- A. the employment opportunities of unskilled workers.
- B. the total wage payment to unskilled workers.
- C. the unemployment of unskilled workers.
- D. the inflow of foreign investment.

2008/CE/II/11

The following table shows the demand and supply schedules of rice :

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)
5	10	25
4	12	20
3	15	15
2	20	10
1	27	5

If the controlled price is raised from \$2 to \$4 per unit, sellers' total revenue will increase from _____ to _____.

- A. \$20 \$45
- B. \$20 \$48
- C. \$40 \$48
- D. \$45 \$48

2008/CE/II/12

If the government raises the effective minimum wage of imported workers,

- A. the employment of imported workers will increase.
- B. the problem of shortage of imported workers will become more serious.
- C. the unemployment rate of local workers will increase.
- D. the total wage earnings of local workers will increase.

2009/CE/II/08

Suppose the government imposed an effective price ceiling on good X. If the government raises the effective price ceiling, the total consumer expenditure on good X

- A. would increase.
- B. would decrease.
- C. would remain unchanged.
- D. may increase, decrease or remain unchanged depending on the elasticity of demand.

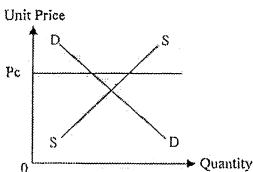
2009/CE/II/11

The government is planning to introduce legislation on a minimum wage across industries. A result of imposing an effective minimum wage is that

- A. the average wage earnings of employed low-income workers must increase.
- B. the total wage earnings of employed low-income workers must increase.
- C. the demand for low-income workers must decrease.
- D. the supply of low-income workers must increase.

2010/CE/II/14

The diagram below shows the market of Good Z.

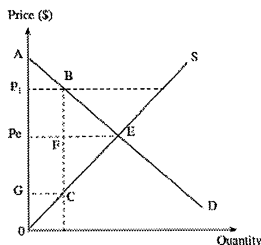


If the government imposes a maximum price control on Good Z at P_c per unit, there would be

- A. an excess demand for Good Z.
- B. an excess supply of Good Z.
- C. no change in consumers' total expenditure on Good Z.
- D. an increase in consumers' total expenditure on Good Z.

PP/DSE/I/15

The following diagram shows the demand and supply curves of good X in a perfectly competitive market.

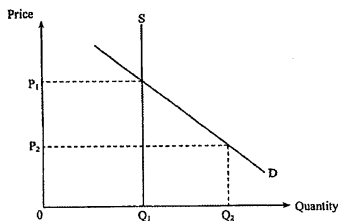


Suppose a price floor is set at P_1 . As a result,

- A. the deadweight loss is equal to area BEF.
- B. the producer surplus is equal to area P_1BCO .
- C. the consumer surplus is equal to area AEPe.
- D. the total social surplus is equal to area P_1BCG .

2013/DSE/I/14

Refer to the following demand-supply diagram.



If the government raises the price floor from P_2 to P_1 , the total revenue received by the sellers.

- A. will rise.
- B. will fall.
- C. will remain unchanged.
- D. may rise or fall, depending on the price elasticity of demand.

2013/DSE/I/15

Suppose the government introduces an effective rent control which sets a maximum rental per square feet the landlords can charge to any tenants. Which of the following statements is correct?

- (1) There will be a shortage of rental units.
 - (2) The landlords will have less incentive to rent out their flats.
 - (3) The landlords will spend less on maintenance of the rental flats.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2014/DSE/I/21

Which of the following are results of the government lowering an effective price ceiling on a good?

- (1) a reduction in the producer surplus
 - (2) an increase in excess demand
 - (3) an increase in the total sales revenue if the demand is elastic
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

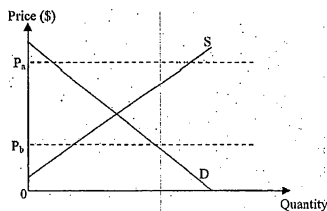
2015/DSE/I/13

Many people queued up for days the tickets to watch the show of Tsz-Wah, a famous artist performing stand-up comedy. Some people complained that they were unable to buy tickets even though they were willing to pay the ticket price set by the organiser. The above situation implies that

- A. price was the only criterion for allocating the tickets.
B. the producer was not maximising its profit.
C. a black market for the tickets might emerge.
D. there was an effective price ceiling in the ticket market.

2015/DSE/I/19

Refer to the following diagram.



If the government lowers the price ceiling from P_a to P_b ,

- A. The quantity transacted will increase.
B. The deadweight loss will decrease.
C. The producer surplus will decrease.
D. The consumer surplus will increase.

2017/DSE/I/18

Suppose the government imposed an effective rent control on living units. Which of the following would **LEAST** likely occur?

- A. There would be a shortage of living units.
B. Black market would emerge.
C. Poor people would be able to rent a living unit more easily.
D. Landlords would have a lower incentive to renovate their living units for rent.

2017/DSE/I/23

If the government raises the effective price floor on Good X and at the same time the price of its substitute increases, the consumer surplus in the market of Good X _____

- A. will increase
- B. will decrease
- C. will remain unchanged
- D. may increase or decrease

2018/DSE/I/18

Refer to the following supply and demand schedules for Good X.

Unit price (\$)	13	12	11	10	9	8	7
Quantity demanded (units)	70	80	90	100	110	120	130
Quantity supplied (units)	130	120	110	100	90	80	70

Suppose the government increases the price ceiling from \$8 to \$12. Which of the following statements is correct?

- A. There would be a shortage of 40 units of Good X.
- B. There would be a surplus of 40 units of Good X.
- C. The total expenditure on Good X would increase by \$360.
- D. The quantity transacted of Good X would remain unchanged.

Short & Structured Questions

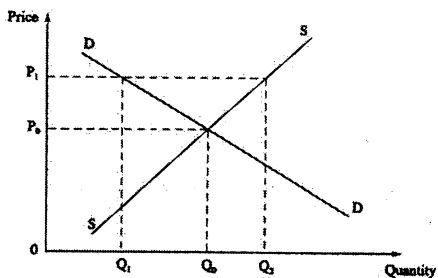
1990/CE/I/1(b)

Suppose the Hong Kong government drastically increases the minimum wage rate of Filipino maids.

- (i) With the aid of a diagram, explain why the total wage earnings of Filipino maids in Hong Kong might decrease. (8 marks)
- (ii) With the aid of a diagram, explain what would be the effect on the equilibrium wage and quantity of local maids. (7 marks)

1994/CE/I/3

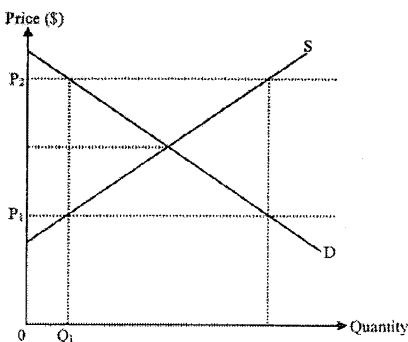
The following diagram shows the supply and demand curves of a certain product:



If the government imposes a 'price-ceiling' at P_1 , what will be the market price and quantity transacted? Explain your answer. (4 marks)

2020/DSE/I/20

Refer to the following supply-demand diagram for Good X.



If the price floor of Good X changes from P_1 to P_2 ,

- A. producer surplus will increase.
- B. quantity transacted of Good X will remain at Q_1 .
- C. deadweight loss will increase.
- D. excess demand of Good X will change to excess supply.

2022/DSE/I/16

Refer to the following supply and demand schedules of Good X.

Unit price (\$)	7	8	9	10	11	12	13
Quantity demanded (units)	700	600	500	400	300	200	100
Quantity supplied (units)	250	300	350	400	450	500	550

If the government increases the price floor from \$9 to \$11, the total expenditure on Good X will

- A. become \$3 300
- B. become \$4 950
- C. increase by \$150
- D. increase by \$950

2023/DSE/I/16

Refer to the following market demand and supply schedules of Good X.

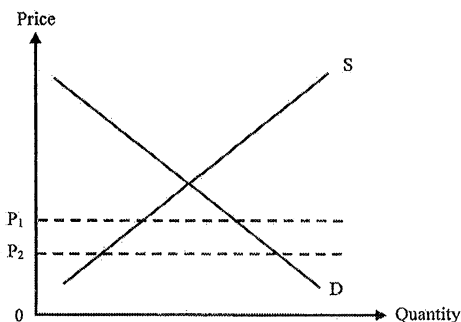
Unit price (\$)	10	15	20	25	30	35
Quantity demanded (units)	140	120	100	80	60	40
Quantity supplied (units)	80	80	80	80	80	80

Which of the following statements about the market of Good X is correct?

- A. If a price ceiling is set at \$10, the quantity transacted of Good X will be 140 units.
- B. If a production quota is set at 40 units, the price and quantity transacted of Good X will remain unchanged.
- C. If a per-unit subsidy of \$5 is provided, the equilibrium price of Good X will decrease to \$20.
- D. If a per-unit tax of \$5 is imposed, the net-of-tax revenue of Good X will decrease to \$1 600.

2023/DSE/I/17

The following diagram shows the supply and demand curves of a good.



Suppose the government changes the price floor from P_1 to P_2 . Which of the following statements is/are correct?

- (1) The marginal benefit of the last unit of the good will decrease.
- (2) There will be an increase in the excess demand for the good.
- (3) Consumers' total expenditure on the good will decrease.
- (4) The quantity transacted of the good will remain unchanged.

- A. (4) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (1), (2) and (3) only

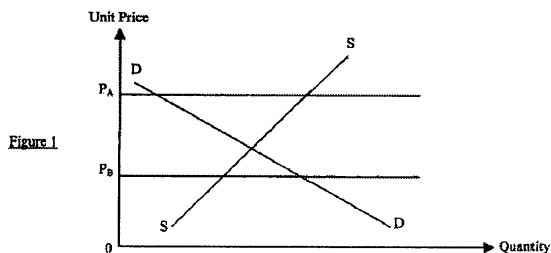
2025/DSE/I/44

Which of the following is **NOT** included in the calculation of Hong Kong's current account balance?

- A. a bank transfer received by a Hong Kong resident from her son residing in London
- B. the revenue earned by a Hong Kong retailer from selling souvenirs to Mainland tourists
- C. the sum of money received by a Hong Kong landlord from selling his restaurant premises to an investor in Paris
- D. the rental income received by a Hong Kong resident from renting his apartment to a Mainland professor who stayed in Hong Kong for four months

2006/CE/1/1

Figure 1 shows the market supply and market demand curves of good X. Suppose the government lowered the price ceiling from P_A to P_B .



- Explain whether the initial price ceiling P_A is effective or not. (2 marks)
- Explain how a fall in the price ceiling to P_B would affect consumers' total expenditure on good X. Indicate the change in consumers' total expenditure in Figure 1. (4 marks)

2012/DSE/II/5

Country A has imposed an effective price ceiling on Good X.

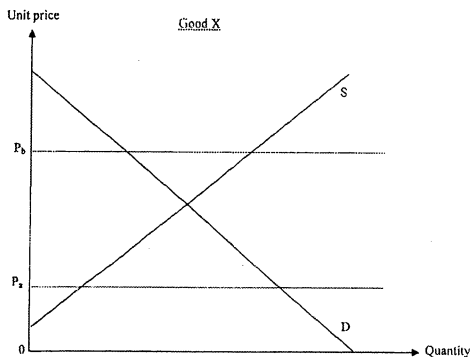
- Suppose Country A eliminates all illegal transactions of Good X. Can this price control ensure all lower income buyers obtain the quantity of Good X they plan to purchase? Explain. (4 marks)
- Suppose the effective price ceiling is lowered. Will the change in price ceiling improve economic efficiency? Explain your answer with the aid of a diagram. (4 marks)

2013/DSE/II/10(c)

The Hong Kong government has introduced an effective minimum wage. Subsequently, many restaurant owners claim that they are unable to employ enough workers for their restaurants at the minimum wage rate. With the aid of a demand-supply explain why the above phenomenon may arise. (9 marks)

2014/DSE/II/3

Figure 1 shows the market supply and demand curves of Good X. Suppose the government raises the price floor from P_a to P_b .

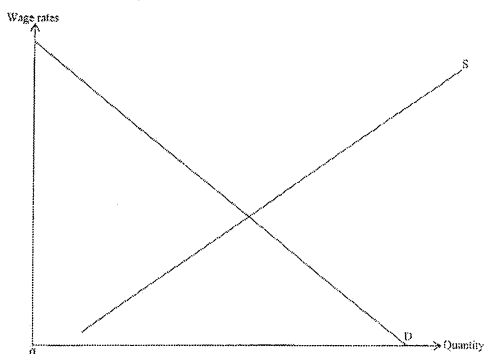


With the aid of Figure 1, explain whether the rise in the price floor could enhance economic efficiency. (6 marks)

2018/DSE/II/10

Foreign domestic helpers are paid with a minimum wage at HK\$4 410 per month for a two-year contractual period in Hong Kong.

Figure 2: Foreign Domestic Helpers in Hong Kong



- (c) Suppose the minimum wage in the market of foreign domestic helpers in Hong Kong is effective. With the aid of Figure 2, explain how it may result in economic inefficiency. (4 marks)

It is reported that the Mainland market is about to open its doors to maids from the Philippines, offering them a salary several times higher than the minimum wage for foreign domestic helpers in Hong Kong.

- (d) Some employers in Hong Kong claimed, 'Even if we offer higher wages to foreign domestic helpers, there will still be insufficient foreign domestic helpers in Hong Kong after the opening of the Mainland market to maids from the Philippines.' With the aid of Figure 2, explain why the above claim may be correct. (6 marks)
- (e) Other than insufficient foreign domestic helpers, suggest **ONE** phenomenon that may be observed in the market of foreign domestic helpers in Hong Kong after the opening of the Mainland market to maids from the Philippines. (1 mark)

2020/DSE/II/10 D

The following source shows the current account data of the US in 2017 and 2018.

- (d) The US government could impose quota to restrict imports. From the viewpoint of the US government, state **ONE** advantage and **ONE** disadvantage of using tariff instead of quota to restrict imports. (2 marks)